SCHEDULE DBP

DEMAND BIDDING PROGRAM

SPECIAL CONDITIONS (Continued)

10. Event Notification/Communication: The Utility will notify the customer of Demand Bid Events Acceptance or Rejection by e-mail, or other communication means specified by the Utility. Customer shall be responsible for the cost and maintenance to receive such communications and to send Demand Bids via the Internet. The Utility does not guarantee the reliability of the Internet site or e-mail system used for such communications.

11. Event Cancellation: In the case where the CAISO cancels its Alert or Warning or more advanced CAISO Notice (Stage 1, 2 or 3 Emergency), the Utility will reject any bid that has not yet been accepted. Once a customer's Demand Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

12. Contract Requirement/Request For Service: Customers must complete an Enrollment Application with the Utility and must provide all required information to participate in the program. Enrollment Applications are deemed "accepted" when all required information has been provided by the customer and validated by the Utility.

13. Multiple Program Participation: A customer may not participate simultaneously in DBP and any other Demand Response rate or program.

14. Termination of Schedule: This Schedule will be terminated on December 31st, 2016.

15. Metering Requirement: Customer's electric meter must be an interval data recorder with related telecommunications capability, compatible with the Utility's meter reading and telecommunications systems. If a customer meets the requirements of this tariff and does not have the correct metering equipment, the Utility will provide and install interval metering equipment and telecommunications systems at no cost to the customer.

    a. For Direct Access and CCA customers, DBP compliance shall be determined from a telephone accessible electric revenue interval meter that can be read remotely by the Utility, and/or from alternative metering and telecommunications acceptable to the Utility. Direct Access and CCA customers are required to allow the Utility telecommunication access to its electric revenue meter for the purposes of determining DBP compliance.

16. Failure to Reduce Energy: No financial penalties will be assessed under this Schedule for a customer's failure to comply or participate during a Demand Bidding Event.

17. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Demand Bidding Program will be handled as provided for in the Utility's Rule 10, Disputes.

18. Opt-Out Provision: Customers participating directly with the Utility in the Demand Bidding Program may dis-enroll from the program in the calendar year 2016 in order to participate in the Demand Response Auction Mechanism ("DRAM") Pilot. Dis-enrollment becomes effective upon receipt of notification from customer, and Utility's verification that the customer is enrolled in the DRAM Pilot. N | N